Meta Platforms Q3 2025 Earnings Transcript

Blind Sentiment & Directional Score

David Eji

July 16, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in$ {BUY, HOLD, SELL}, structured summary, evidence quotes.
- **HOLD band:** |overnight move| < 2.00%. Above +2.00%, BUY is correct. Below −2.00%, SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as (next-trading-day Open ÷ release-day Close) −1, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The ±2.00% band applies to the overnight move only.

Report metadata

Company	Meta Platforms, Inc. (META)
Report	Q3 2025
Release date	Wednesday 29 October 2025, after close
Earnings call	4:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 29 October 2025
Read mode	transcript and news only
Time to produce	53 minutes

Source material (read this first)

Headline financials

- Revenue \$51.2B, up 26% year over year. Operating margin 40%.
- Reported net income \$2.7B (\$1.05 EPS) after a one-time tax charge. Excluding it, \$18.6B (\$7.25 EPS).
- Family of Apps revenue \$50.8B, up 26%. Reality Labs \$470M, up 74%.

Forward guide

- Q4 2025 revenue guided to \$56B to \$59B.

- 2025 capex raised to $70B to $72B, and capex dollar growth in 2026 flagged as notably larger.
- Full-year 2025 expenses $116B to $118B.

Hedges and concerns

- EU regulatory risk, with the Commission possibly imposing further changes that could have a significant negative impact.
- US youth-safety litigation with trials scheduled for 2026 that may result in a material loss.
- The elevated tax rate from the one-time deferred tax asset reduction under the new US tax law.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The stock came into the print near record highs after a strong 2025 run.
- The ad market was healthy and the Street expected another beat. The real question was the capex signal for 2026 and how much AI spending investors would tolerate.
- Meta had been fighting EU regulatory pressure on its ad model all year, a known overhang.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 29 October 2025 – 25bp cut to 3.75–4.00%. Released 2pm ET the same day as this print, ahead of the after-close release.
- **Stance read:** Hawkish-leaning cut: Powell flagged that a December cut was "not a foregone conclusion".
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. *"We're prepared for the most optimistic cases"* – Zuckerberg, prepared remarks.
2. *"Impression growth was healthy across all regions driven by engagement"* – Li, prepared remarks.
3. *"We are sort of perennially operating ... in a compute starved state"* – Zuckerberg, Q&A.
4. *"We're really able to continue to grow the absolute dollars of revenue growth"* – Li, Q&A.

Your scoring – fill in below, then seal

---

1 Sentiment score

Score: +0.45

Rationale. The operating business is excellent, with revenue up 26% and healthy engagement everywhere. What drags the score is the optics, a one-time tax charge crushing reported EPS, another capex raise and a promise that 2026 spending grows notably larger.

2 Directional signal

Signal: SELL

Rationale. This mirrors the Netflix Brazil setup, an optically wrecked EPS line plus a spending scare landing on a stock at record highs. The market tends to sell first and parse the one-off later. SELL.

3 Structured summary

- **Advertising and engagement.** Strong and broad-based, nothing wrong with the core.
- **AI and capex.** The problem. Another raise and a warning of notably larger 2026 spend.
- **Margins and one-offs.** The tax charge is one-time but wrecks the reported number.
- **Forward guide.** Fine on revenue, worrying on cost.

4 Evidence quotes

1. *"We're prepared for the most optimistic cases"* – Zuckerberg, prepared remarks (spend intent).
2. *"Impression growth was healthy across all regions driven by engagement"* – Li, prepared remarks (ads).
3. *"We are sort of perennially operating ... in a compute starved state"* – Zuckerberg, Q&A (capex appetite).

— SEALED —

Overnight move and call verification

META close, 29 October 2025 (release day)	\$751.67
META open, 30 October 2025	\$669.15
Overnight move (release close → next open)	**−10.98%**

Call verification

- HOLD band test: $|-10.98\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **SELL**, matching the correct call, so the call was **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−**10.98**%
D+1 close	−11.33%
D+3 close	−15.16%
D+5 close	−15.40%
D+10 close	−18.98%
D+20 close	−15.71%